

Customer Analytics Executive Report

Prepared for: Executive Management

Date: August 2026

Project: Customer Behavior Analysis – Project 02

1. Executive Summary

This report provides a concise overview of customer behavior patterns, key business opportunities, and critical risks for the e-commerce store. The analysis is based on a dataset of **60 unique customers** and covers customer demographics, geographic performance, loyalty program targeting, churn risk, and the impact of discounts on customer behavior.

Total Revenue: 203,068.12

Average Customer Satisfaction: 2.98 / 5

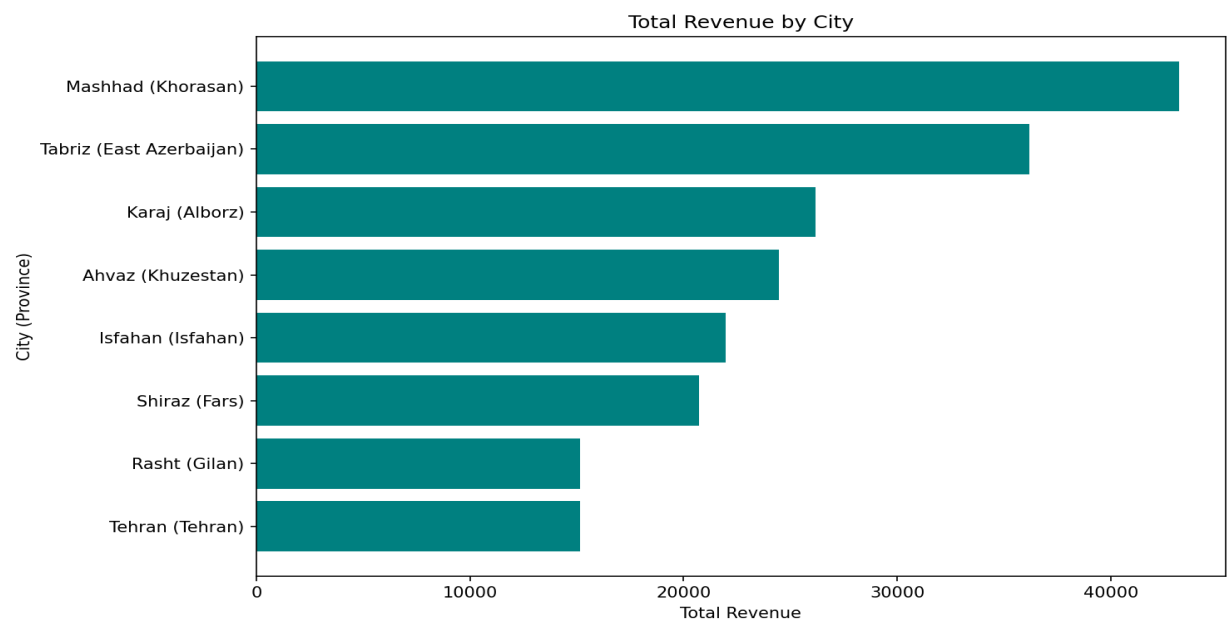
Total Unique Customers: 60

2. Key Performance Indicators (KPIs)

KPI	Value
Total Unique Customers	60
Total Revenue	203,068.12 IRR
Average Satisfaction Score	2.98 / 5
Average Purchase Count per Customer	17.67
At-Risk Customers	1
Top City by Revenue	Mashhad (Khorasan)

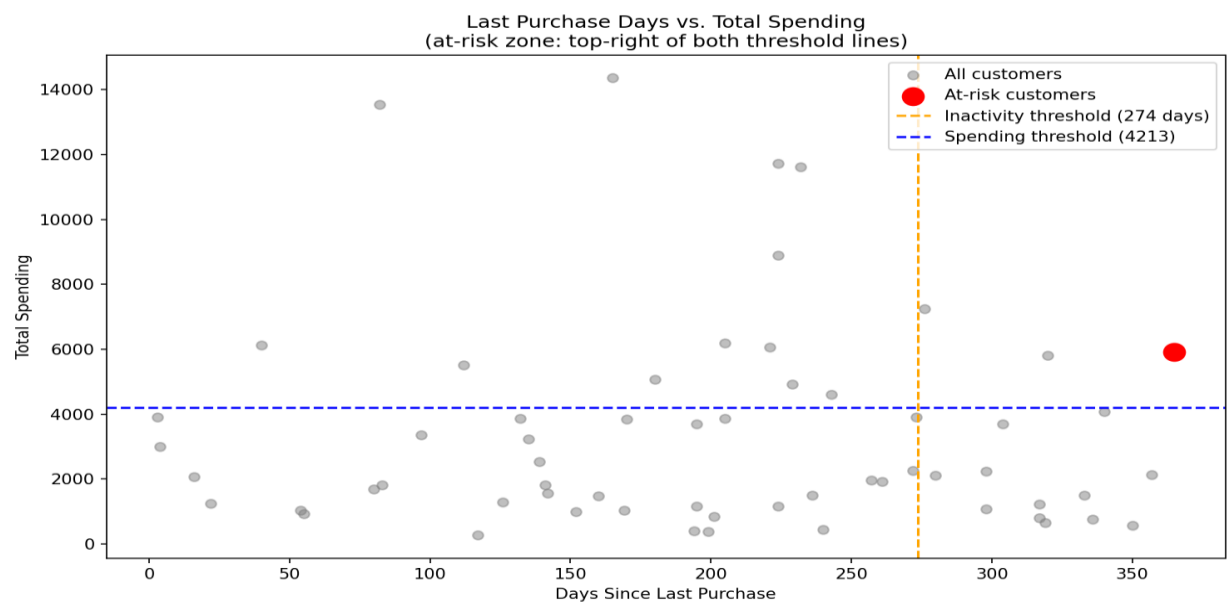
3. Selected Visualizations

Chart 1: Total Revenue by City



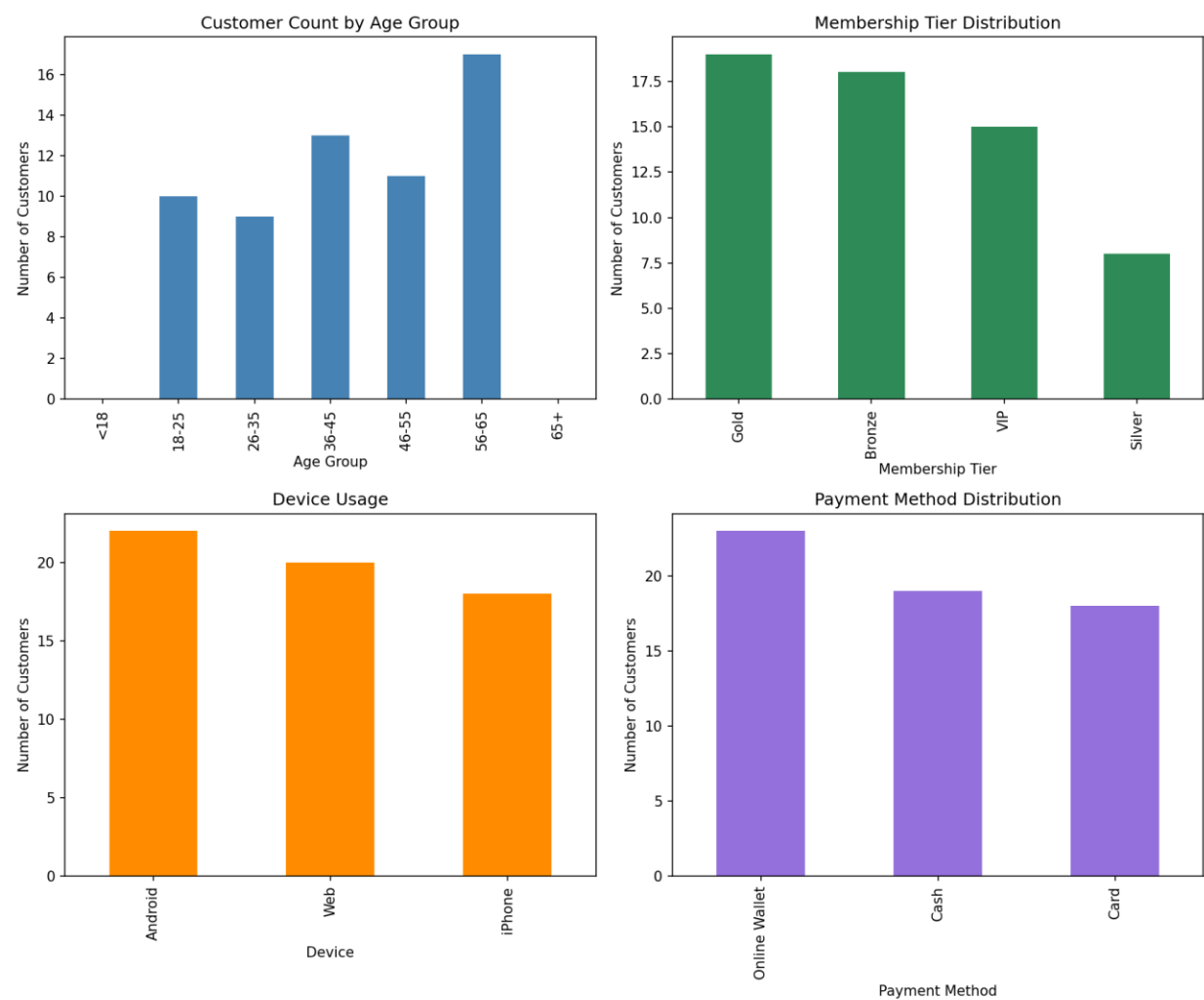
Interpretation: Mashhad is the highest-revenue city (43,197 IRR) with 11 customers. This represents the primary growth opportunity but requires quality management due to below-average satisfaction (2.91).

Chart 2: At-Risk Customers



Interpretation: One high-value customer (Arash, 5,918 IRR, 365 days inactive) is flagged as the primary churn risk. This customer was once highly valuable but has not purchased in one year.

Chart 3: Membership Tier Distribution



Interpretation: Current membership tiers do not align with actual customer loyalty scores. The highest-loyalty customer (Maryam, score 0.86) holds only a Bronze tier, while some Gold and VIP customers scored lower.

4. Executive Recommendations

Recommendation 1: Quality Control in Mashhad

KPI	Action	Evidence
Total Revenue: 43,197.58 (highest)	Launch a 3-question satisfaction survey for Mashhad customers to identify root causes of low satisfaction (2.91)	Mashhad generates the highest revenue but has below-average satisfaction. Investing in quality control now prevents customer churn and protects future revenue.

Recommendation 2: Revise the Membership Tier System

KPI	Action	Evidence
Loyalty Score (calculated in Question 3)	Redefine membership criteria based on actual customer value; automatically upgrade high-loyalty customers	Maryam (loyalty score 0.86, #1) holds a Bronze tier, while some Gold/VIP customers have lower scores. Current tiers do not reflect actual customer value.

Recommendation 3: Smart Discount Strategy for Inactive Customers

KPI	Action	Evidence
At-Risk Customers: 1 (Arash, 5,918 IRR, 365 days inactive)	Tier 1: 5% discount for all customers inactive >6 months Tier 2: 15% personalized discount + personal message for high-value customers	Arash was a top-spending customer (top 25%) but hasn't purchased in 365 days. His satisfaction is average (3/5), suggesting disengagement, not dissatisfaction. A personalized offer can bring him back.

5. Key Insights Summary

Aspect	Finding	Recommended Action
Opportunity	Mashhad is the highest-revenue city	Launch satisfaction survey + quality control
Risk	1 high-value customer is at risk of churn	Send personalized win-back offer (15% discount)
Customer Strategy	Membership tiers misaligned with loyalty scores	Revise tier criteria and upgrade high-loyalty customers

6. Important Limitations

- The dataset contains only 60 customers, so some findings may not be statistically significant.
- Last purchase days are available, but complete order history is not, so churn cannot be definitively confirmed.
- Discount analysis is descriptive only and does not prove causation.
- Recommendations are based on patterns observed in the available data and should be validated with further analysis.

7. Conclusion

The analysis reveals three priority areas for action:

1. **Quality control in Mashhad** to address below-average satisfaction and protect future revenue
2. **Revision of the membership tier system** to ensure high-loyalty customers feel valued
3. **Smart discount strategy** with tiered offers for inactive customers, including personalized offers for high-value customers

All recommendations are data-driven, actionable, and aligned with business priorities of growth, retention, and customer satisfaction.